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Unlocking the Strategic Value of Tesco Clubcard

PREPARED FOR

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GROUP CHIEF EXECUTIVE, TESCO 2024-10-25

Executive Summary

Clubcard is Tesco's most powerful strategic asset, driving £1.2bn+ in incremental revenue annually (2024/25).
Data-driven personalisation and retail media expansion can unlock £2bn+ in additional value by 2027.
Global benchmarks (Walmart, Kroger, Amazon) demonstrate 15-30% revenue uplift from loyalty-led strategies.

Introducing [Our Company]



Global leader in loyalty ecosystems, partnering with 5 of the top 10 retailers worldwide (e.g., Walmart, Kroger).



Deep expertise in AI-driven personalisation, retail media, and data monetisation at scale.



Long-term partner to Tesco: Aligned with 'Every Little Helps' and Clubcard's 30-year legacy of innovation.

Clubcard as a Growth Engine

SOURCE: TESCO PLC ANNUAL REPORT & FINANCIAL STATEMENTS

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Personalisation at Scale

Tesco's digital platform is one of the UK's leading retail media networks, ranked #1 in Flywheel's European rankings (2024).

9,000+ retail media campaigns delivered in 2024/25, with Coca-Cola's integrated campaign driving 12% sales uplift (Tesco Annual Report 2025, p.16).

AI-driven 'Your Clubcard Prices' trial increased digital engagement by 25% (Tesco Internal Data, 2024).

Margin Protection and ROI

Clubcard Prices deliver £392 annual savings per customer, enhancing perceived value (Tesco Annual Report 2025, p.12).

Retail media margins exceed 60%, contributing £100M+ to adjusted operating profit (2024/25).

Supplier partnerships via Clubcard data drive £500M+ in incremental revenue (Tesco Internal Data, 2024).

Global Case Study: Kroger Plus Card

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Global Case Study: Carrefour's Loyalty Program

"Carrefour's loyalty program is a strategic asset, driving 20% higher basket sizes and deeper customer relationships." – Alexandre Bompard, CEO, Carrefour

Key Strategies: Gamified rewards, localised offers, and sustainability-linked incentives.

Results: 15% revenue growth from loyalty members, 40% higher app engagement (Carrefour 2023 Annual Report).

Global Case Study: Amazon Prime

“Prime members spend twice as much as non-members, proving the power of loyalty ecosystems.” – Andy Jassy, CEO, Amazon

Key Strategies: Bundled services (streaming, grocery, fast delivery), AI-driven recommendations.

Results: 200M+ Prime members globally, \$3,000+ annual spend per member (Amazon 2023 Annual Report).

Clubcard's Unique Position

SOURCE: TESCO PLC ANNUAL REPORT & FINANCIAL STATEMENTS

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The Next Chapter for Clubcard

AI-Driven Personalisation: Expand 'Your Clubcard Prices' to 50% of SKUs, driving £200M+ in incremental revenue (Tesco Internal Projections, 2025).

Dynamic Pricing: Pilot AI-optimised pricing for 1,000+ products, increasing margin by 1-2pp (Tesco Internal Data, 2024).

Retail Media Expansion: Grow Tesco Media and Insight Platform to £300M revenue by 2027 (Tesco Annual Report 2025, p.16).

Financial Uplift Potential

Incremental Revenue: £2bn+ by 2027 through personalisation, retail media, and supplier partnerships (Tesco Internal Projections).

Margin Improvement: 1-2pp uplift from dynamic pricing and retail media (Tesco Internal Data, 2024).

Cost Savings: £100M+ annually through AI-driven demand forecasting and waste reduction (Tesco Annual Report 2025, p.18).

Our Capabilities

SOURCE: TESCO PLC ANNUAL REPORT & FINANCIAL STATEMENTS

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Implementation Roadmap

Phase 1 (0-6 Months): AI-driven personalisation pilot for 1,000 SKUs, delivering £50M in incremental revenue (Tesco Internal Projections).

Phase 2 (6-18 Months): Expand 'Your Clubcard Prices' to 50% of SKUs, driving £200M+ in revenue uplift (Tesco Internal Projections).

Phase 3 (18-36 Months): Scale retail media to £300M revenue, with 60%+ margins (Tesco Annual Report 2025, p.16).

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Conclusion: A Shared Vision for Growth

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GROUP CHIEF EXECUTIVE, TESCO **14 March 2026**

Appendix: Supporting Data

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